Practice workbook · Preparing an income statement for a trader or service business

Building an income statement, in full or the profit section only, for a sole trader, service business or partnership (before appropriation) from a trial balance, folding in year-end adjustments.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-01

1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

1 Tang, a sole trader, provided the following balances at 31 December 2023.

Account	$
Business rates	1 430
Carriage inwards	800
Carriage outwards	1 300
Fixtures and fittings – cost	10 000
Fixtures and fittings – provision for depreciation	2 000
General expenses	5 800
Insurance	3 600
Irrecoverable debts	650
Motor expenses	22 890
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	5 000
Opening inventory	8 700
Premises – cost	85 000
Purchases	89 000
Returns outwards	4 256
Revenue	150 000

Additional information

- Closing inventory was valued at $9 345
- On 31 December 2023 business rates, $570, were owing and insurance, $600, was paid in advance.
- During the year Tang took goods costing $3 290 for his personal use.
- The purchase of a new motor vehicle, $15 000, has been included in the motor expenses account.
- Depreciation on non-current assets is to be provided for as follows:
  - fixtures and fittings, 10% per annum, using the straight line method
  - motor vehicles, 25% per annum, using the reducing balance method.
- A full year's depreciation is charged on assets held at the year end.

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1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

(a) Prepare the income statement for the year ended 31 December 2023.

(20)

Tang

Income statement for the year ended 31 December 2023

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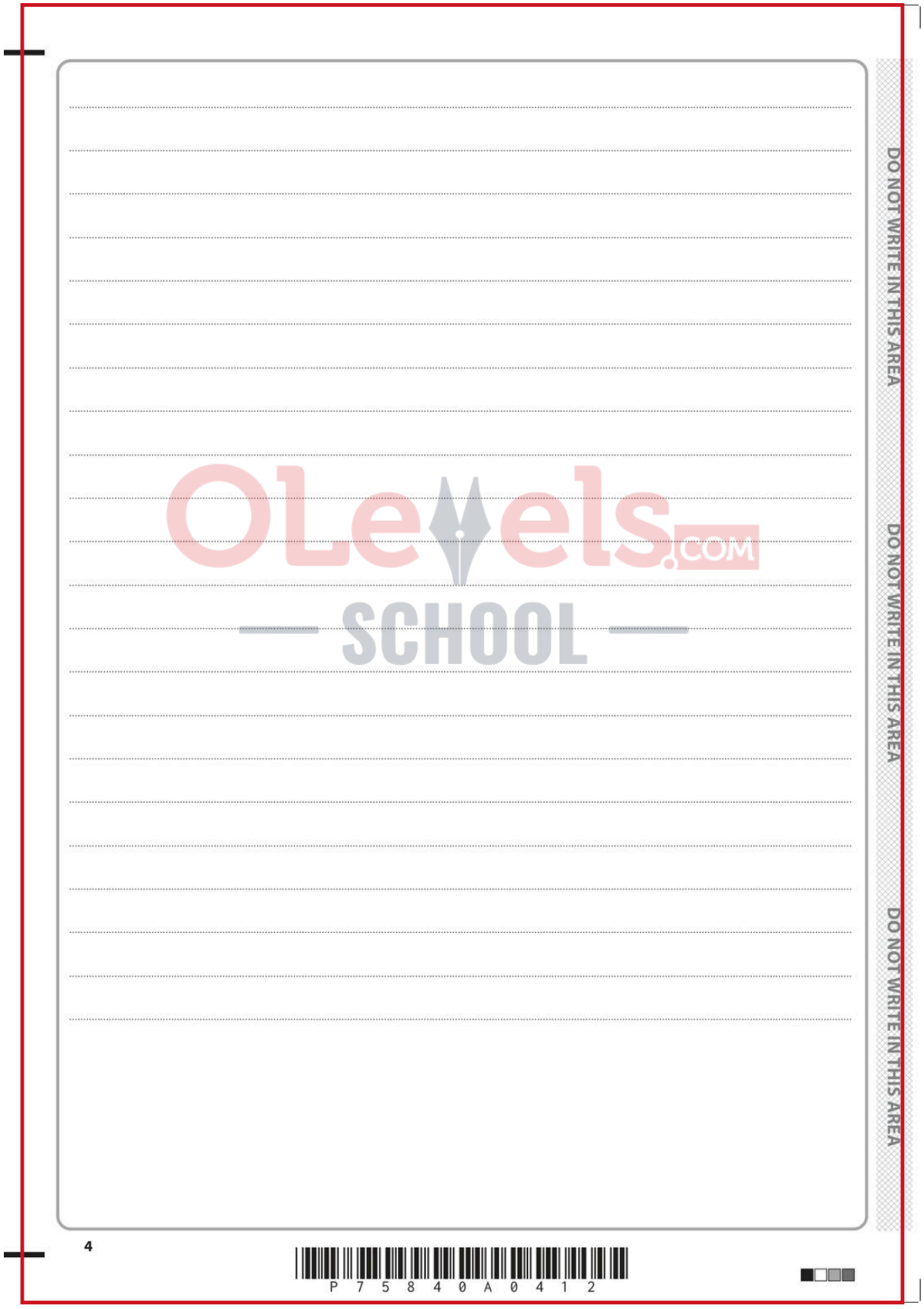
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1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.



1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

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Tang is considering two options to improve his financial record keeping.

Option 1: employ a part-time bookkeeper.

Option 2: purchase an accounting software package.

(b) Discuss **both** options and advise Tang which option he should choose.

(5)

Option 1

Option 2

Advice

(Total for Question 1 = 25 marks)

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1. Question 1 · part a · 20 marks · Working and answer

Working and answer

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2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

1 Yu Win provided the following information.

At 1 June 2017	$
Provision for irrecoverable debts	3 000
Fixtures and fittings Cost Accumulated depreciation	 20 000 5 000
Motor vehicles Cost Accumulated depreciation	 50 000 13 550
Inventory	37 150

At 31 May 2018	$
Carriage inwards	3 625
Discount received	1 250
General expenses	24 375
Purchases	185 375
Purchases returns	12 500
Sales	329 500
Sales returns	15 500
Wages and salaries	38 650

During the year ended 31 May 2018:

- fixtures and fittings purchased on 1 January 2013 for $7 500 were sold for $5 400
- a motor vehicle costing $20 000 was purchased.

The following adjustments have not yet been made:

- closing inventory $43 950
- Yu Win took goods for personal use costing $2 500
- wages and salaries owing $1 350
- general expenses paid in advance $1 125
- a decrease in the provision for irrecoverable debts of $750
- depreciation charge:
  - fixtures and fittings 5% per annum straight line
  - motor vehicles 10% per annum reducing balance
  - a full year's depreciation is charged in the year of purchase and none in the year of disposal.

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2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

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QUESTION 1 (a) BEGINS ON THE NEXT PAGE.

2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the Income Statement for the year ended 31 May 2018.

(20)

Yu Win
Income Statement for the year ended 31 May 2018

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2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

Workings

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Turn over ▶

2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the Statement of Financial Position at 31 May 2018 showing the **non-current assets** section only.

(5)

Yu Win
Statement of Financial Position at 31 May 2018

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(Total for Question 1 = 25 marks)

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2. Question 1 · part a · 20 marks · Working and answer

Working and answer

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3. Question 1 · part a · 20 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

1 Gurpreet, a sole trader, provided the following trial balance at 31 December 2019.

	Debit $	Credit $
Allowance for doubtful debts		750
Bank	3 000	
Drawings	10 000	
Equity		60 000
Inventory	15 000	
Motor vehicles – accumulated depreciation		25 000
Motor vehicles – cost	50 000	
Office expenses	16 780	
Purchases	45 920	
Revenue		81 385
Trade payables		3 515
Trade receivables	5 575	
Wages	24 375	
Total	170 650	170 650

Additional information

1. During the year ended 31 December 2019, a motor vehicle that was purchased during 2014 for $10 000, was sold for $5 760. This has not yet been recorded in the books. Depreciation is charged on motor vehicles at 10% per annum using the straight line method. A full year's depreciation is charged in the year of acquisition and none in the year of disposal.
2. At 31 December 2019:
   - inventory was valued at $12 000
   - wages owing were $1 125
   - office expenses paid in advance were $1 280
3. A debt of $575 should be written off as irrecoverable and the allowance for doubtful debts is maintained at 12% of trade receivables.

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3. Question 1 · part a · 20 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 31 December 2019.

(20)

Gurpreet
Income statement for the year ended 31 December 2019

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3. Question 1 · part a · 20 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

Gurpreet is considering forming a partnership with another sole trader.

(b) Evaluate whether Gurpreet should form a partnership.

(5)

(Total for Question 1 = 25 marks)

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3. Question 1 · part a · 20 marks · Working and answer

Working and answer

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4. Question 2 · part a · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 Ali provides consultancy services to local businesses.
He provided the following information.

	At 1 May 2021 $	At 30 April 2022 $
Motor vehicle – Cost	34 000	To be calculated
Motor vehicle – Provision for depreciation	12 000	
Provision for irrecoverable debts	140	
Equity	17 100	
Bank loan	2 500	1 800
Bank overdraft	5 140	2 060
Other payables – wages	210	–
Other payables – fuel	310	480
Trade receivables – income owing	2 800	3 270
Other receivables – office rent and rates	600	1 200
Other receivables – insurance	–	110

During the year ended 30 April 2022

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

Additional information

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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4. Question 2 · part a · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 30 April 2022.

(12)

Ali
Income statement for the year ended 30 April 2022

	$	$
Income		
Wages		
Fuel		
Insurance		
Depreciation		
Office rent and rates		
Irrecoverable debts		
Provision for irrecoverable debts		
Bank interest		
Profit for the year		

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4. Question 2 · part a · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

Ali
Statement of financial position at 30 April 2022

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4. Question 2 · part a · 12 marks · Working and answer

Working and answer

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5. Question 1 · part a · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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5. Question 1 · part a · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

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5. Question 1 · part a · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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5. Question 1 · part a · 12 marks · Working and answer

Working and answer

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6. Question 2 · part a · 8 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

2 On 31 March 2025 Taylor provided the following trial balance after the preparation of the trading account for the year.

Taylor
Trial balance at 31 March 2025

Account	Debit $	Credit $
Cash at bank		2200
Cash in hand	1120	
Drawings	50000	
Equity		250000
Fixtures and fittings – cost	50000	
Fixtures and fittings – provision for depreciation		10000
Gross profit		419250
Lighting and heating	10800	
Inventory	35200	
Irrecoverable debts	250	
Land and buildings – cost	250000	
Motor vehicles – cost	20000	
Motor vehicles – provision for depreciation		7200
Profit on disposal of motor vehicle		800
Provision for irrecoverable debts		750
Sundry expenses	39630	
Trade payables		9800
Trade receivables	12000	
Wages and salaries	231000	
	700000	**700000**

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6. Question 2 · part a · 8 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

Additional information at 31 March 2025

- The figure shown for wages and salaries covers the 11 months to 28 February 2025. Salaries for March 2025 are due and unpaid. There have been no salary increases or changes in staff over the past 12 months.
- Motor vehicles are to be depreciated by 20% using the reducing balance method.
- Fixtures and fittings are to be depreciated by 10% using the straight-line method.
- The provision for irrecoverable debts is to be maintained at 5% of trade receivables.

(a) Prepare an income statement extract showing the **profit and loss section** only.

(8)

Taylor
Income statement extract for the year ended 31 March 2025

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Turn over ▶

6. Question 2 · part a · 8 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

(b) Prepare a statement of financial position at 31 March 2025.

(12)

Taylor
Statement of financial position at 31 March 2025

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6. Question 2 · part a · 8 marks · Working and answer

Working and answer

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7. Question 1 · part a.i · 15 marks

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

1 Ahmed and Malik are in partnership sharing profits and losses equally.

Their partnership agreement allows for interest on capital at 5% per annum and a partnership salary to Ahmed of $10 000 per annum.

The partners provided the following information for the year ended 31 March 2024.

Account	$
Capital accounts – Ahmed – Malik	50 000 30 000
Current accounts – Ahmed – Malik	4 500 8 600
Carriage inwards	645
Carriage outwards	1 300
Discount allowed	678
Discount received	663
Drawings – Ahmed – Malik	3 600 2 800
Motor expenses	1 854
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	15 000
Opening inventory	12 260
Purchase returns	3 298
Purchases	86 321
Rent, rates and insurance	9 750
Revenue	192 000
Trade payables	23 921
Trade receivables	36 000
Wages and salaries	44 448

Additional information

- Closing inventory was valued at $14 265
- On 31 March 2024, rates, $500, were owing and insurance, $250, was paid in advance.
- Depreciation is charged on motor vehicles at 25% per annum using the reducing balance method.
- A provision for irrecoverable debts of 2% of trade receivables is to be created.

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7. Question 1 · part a.i · 15 marks

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

(a) (i) Prepare the income statement for the year ended 31 March 2024.

(15)

Ahmed and Malik
Income statement for the year ended 31 March 2024

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7. Question 1 · part a.i · 15 marks

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

(ii) Prepare the appropriation account for the year ended 31 March 2024.

(5)

Ahmed and Malik
Appropriation Account for the year ended 31 March 2024

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7. Question 1 · part a.i · 15 marks · Working and answer

Working and answer

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